

out by Emkay Global has called this a “major setback” for the company. “This termination is despite Punit Goenka agreeing to step down as the MD and CEO of the merged entity, as per Zee. We believe this breakdown can also spur shareholder activism against Zee’s management and reckon that Zee will now draw other suitors for potential deals,” it stated. The adverse report was “due to weak competitive positioning and escalated corporate governance issues”. Chandra, meanwhile, has told the media that the promoter group is considering raising its stake in Zee by five percentage points.

On the way forward for the industry, Sinha of Bexley Advisors believes that an inflationary environment would make the consumer even more conscious of how much she is

30 | **WHILE ZEE HAS APPROACHED THE NCLT FOR IMPLEMENTING THE MERGER, SONY HAS APPROACHED THE SIAC**

spending. Anticipating a significant wave of media consolidation, he says there will be an overall reduction in the number of platforms, combined with reduced spending on content in the medium term.

“It is not hard to imagine a landscape five years from now being dominated by a few marquee players that have absorbed many of the players that lie scattered around the media landscape today. They will command a similar percentage of the consumer wallet, but with a larger individual share for each of the survivors,” Sinha adds.

There is certainly a lot brewing in this space. **BT**

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TRADE

Troubled Seas

The attacks by Houthi rebels in the Red Sea are turning into a worry, raising the spectre of higher commodity and crude oil prices

BY SURABHI

► **INDIA HAS REMAINED** largely insulated from the two ongoing wars in Europe and the Middle-east. But recent disruptions in the Red Sea, sparked by attacks by the Yemen-based Houthis, have begun to impact India’s shipments. This has set alarm bells ringing in the government.

The recurrent attacks that started on November 19, when the Houthis hijacked a commercial ship in the Red Sea, are becoming a cause for concern because of the looming threat of a rise in freight costs that could hurt Indian exports, and a potential spike in crude oil prices, apart from the safety of Indian ships and seafarers. External Affairs Minister S. Jaishankar took this issue up with Iran, which has backed the Houthis, during a visit to the country in mid-January, while the commerce ministry is working with exporters to iron out their problems. The Indian Navy has also been deployed to ensure the safety of Indian ships.

For now, though, India does not plan to join any multinational naval coalition, such as the one led by the US, to secure cargo travelling through the area.

The Red Sea, which connects to the Mediterranean via the Suez

Canal, is a vital conduit for Asia-Europe container shipments, which represent up to 15% of global trade. Because of the Houthi attacks, believed to be retaliation for the war between Israel and Hamas, vessels have had to be rerouted all the way around Africa via the Cape of Good Hope, doubling shipping costs and lengthening delivery times by as much as 25%.

For Indian exporters, this is turning into a major pain point. About 34% of India’s exports are to Europe and the eastern coast of the US, and these shipments are now being rerouted, meaning ships have to traverse an extra 4,000 to 6,000 nautical miles, leading to delays of at least a fortnight.

An inter-ministerial meeting chaired by Commerce Secretary Sunil Barthwal and attended by officials from the ministries of external affairs, defence, shipping and the department of financial services on January 17 took stock of the situation and decided to ensure sufficient credit flow to exporters, who have been facing a spike in shipping costs. The commerce ministry has also met with exporters to understand and address their problems.

“It is a very serious situation for